

ECON 1550 International Finance

The II-XX Model

II-XX Model

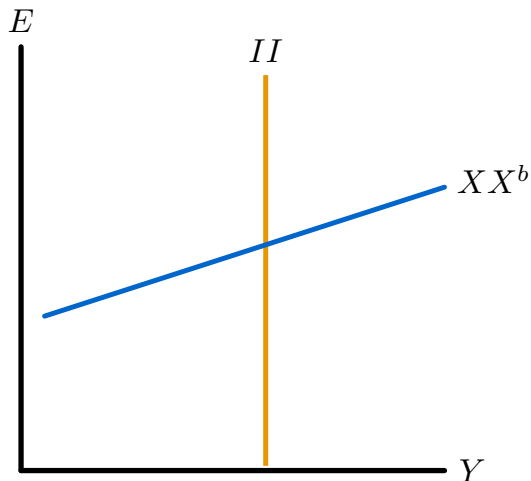
- Start with minimal assumptions
 - There are numbers Y^f and XX^b such the economy tends to $Y = Y^f$ and $CA = XX^b$ in the long run
 - $Y = Y^f$ and $CA = XX^b$ are desirable economically or politically
 - Monetary and fiscal policy cannot influence Y^f and XX^b , but can affect how long it takes for Y and CA to get to Y^f and XX^b

II-XX Model

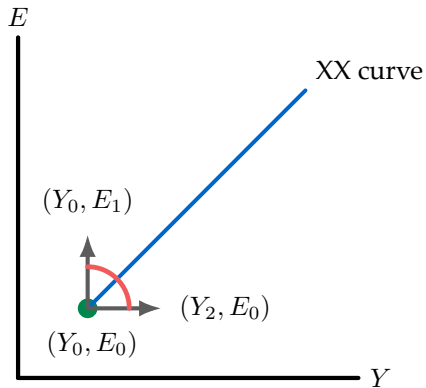
- Do not assume
 - Equilibria in any markets
 - Mechanisms for how Y and CA approach Y^f and XX^b

Internal and External Balance

- *II* curve: (Y, E) consistent with **internal balance**
 $Y = Y^f$
- *XX* curve: (Y, E) consistent with **external balance**
 $CA = XX^b$

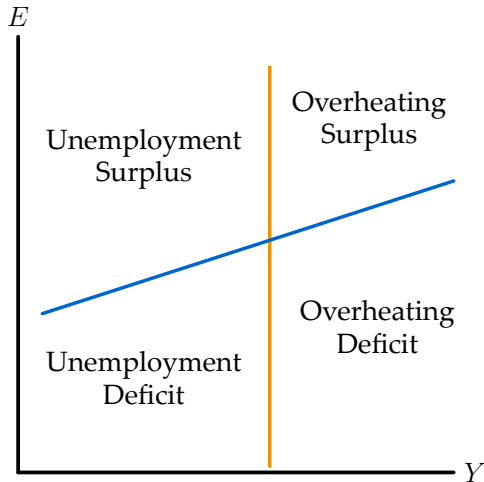


The XX curve is upward sloping



Four Zones of Discomfort

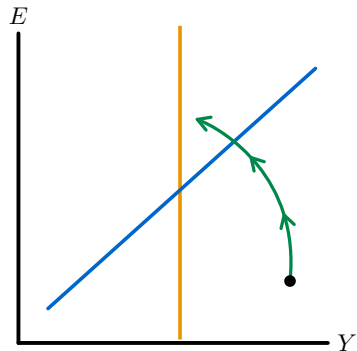
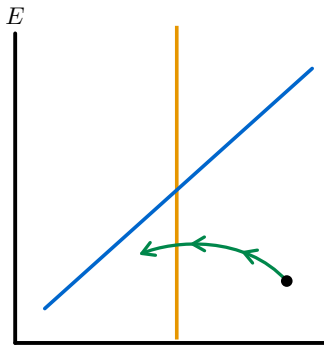
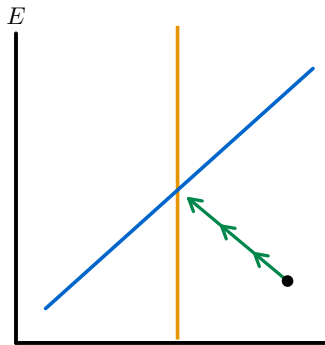
- Lack of internal balance:
 - Overheating when $Y > Y^f$
 - Unemployment when $Y < Y^f$
- Lack of external balance:
 - Deficit when $CA < XX^b$
 - Surplus when $CA > XX^b$



Dynamics

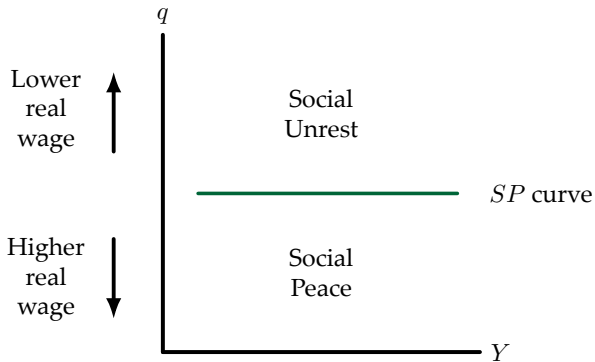
- Only dynamics specified are that, in the long run:
 - Output adjusts to Y^f
 - Current account adjusts to XX^b
- Can take a long time to return to balance
- Government policy can speed up return to balance

Possible Dynamics



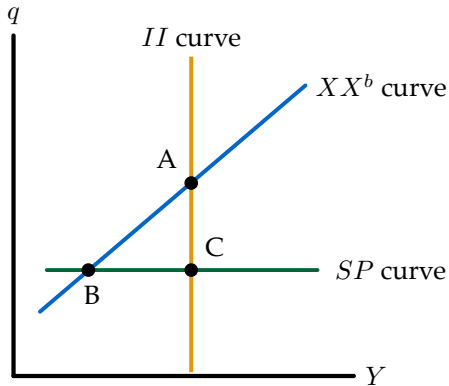
Social Peace

- When real wages are too low, **social unrest**
- Real depreciation associated with lower real wage



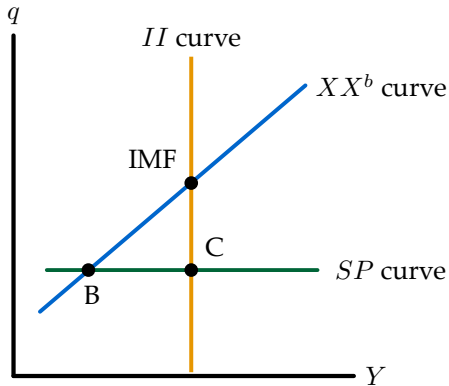
Economic and Social Objectives in Conflict

Point	Internal Balance	External Balance	Social Peace	Name
A	✓	✓	Unrest	
B	Unemployment	✓	✓	
C	✓	Deficit	✓	



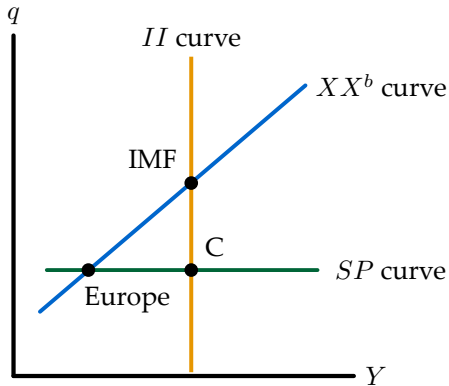
Economic and Social Objectives in Conflict

Point	Internal Balance	External Balance	Social Peace	Name
A	✓	✓	Unrest	IMF
B	Unemployment	✓	✓	
C	✓	Deficit	✓	



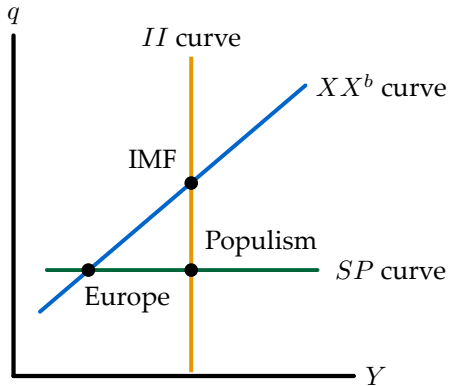
Economic and Social Objectives in Conflict

Point	Internal Balance	External Balance	Social Peace	Name
A	✓	✓	Unrest	IMF
B	Unemployment	✓	✓	Europe
C	✓	Deficit	✓	



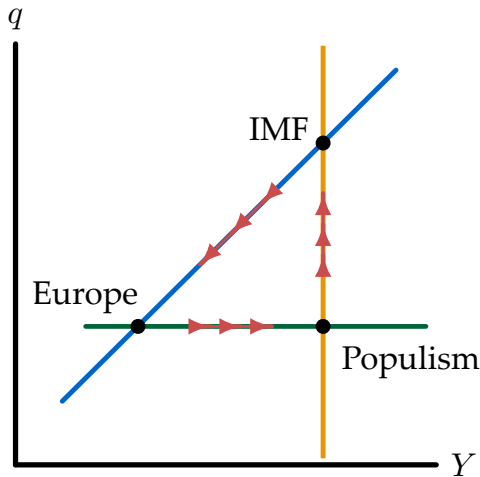
Economic and Social Objectives in Conflict

Point	Internal Balance	External Balance	Social Peace	Name
A	✓	✓	Unrest	IMF
B	Unemployment	✓	✓	Europe
C	✓	Deficit	✓	Populism

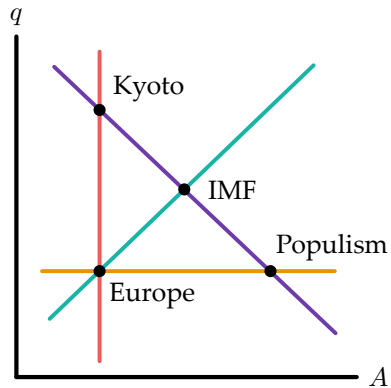
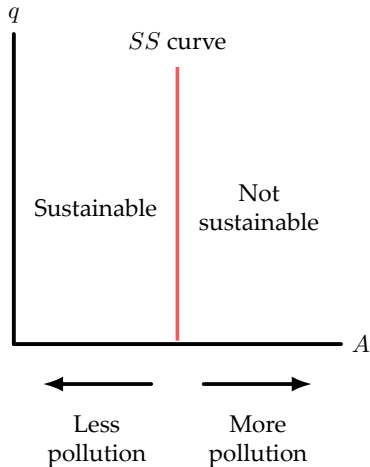


The Latin Triangle

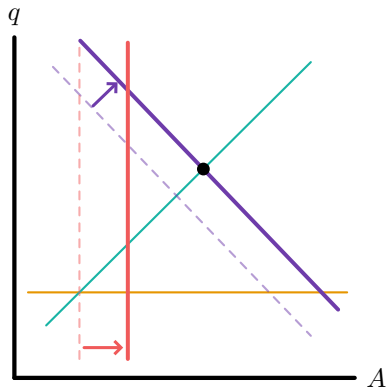
- Economy cycles: IMF $\rightarrow$ Europe $\rightarrow$ Populism $\rightarrow$ IMF $\rightarrow$...
- Describes Latin America *scarily* well
- No easy solutions



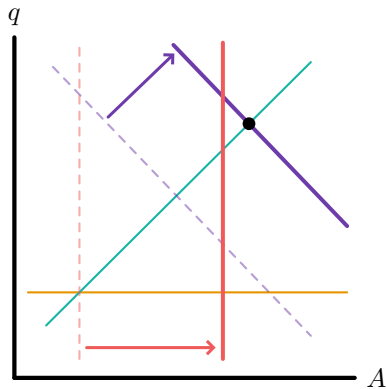
Add Environmental Concerns



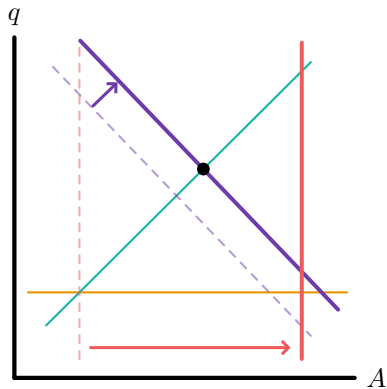
Can Technological Progress Help?



Can Technological Progress Help?



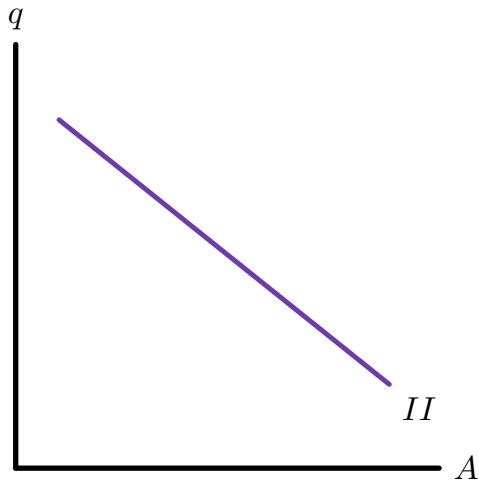
Can Technological Progress Help?



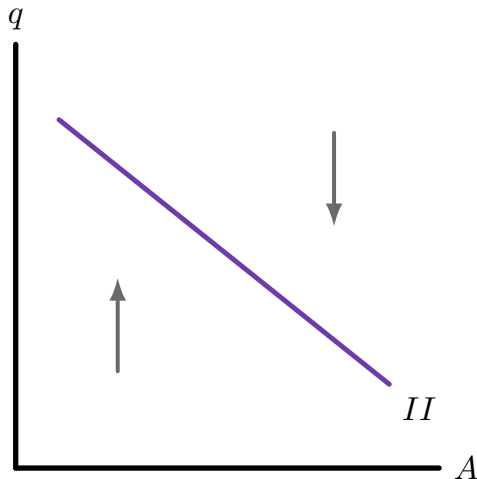
The $II-XX$ with A and q

- Assume specific adjustment mechanisms to pin down dynamics
 - Adjust to internal balance through the price level P
 - Adjust to external balance through consumption C
- Study environmental sustainability (together with social peace and economic balance)

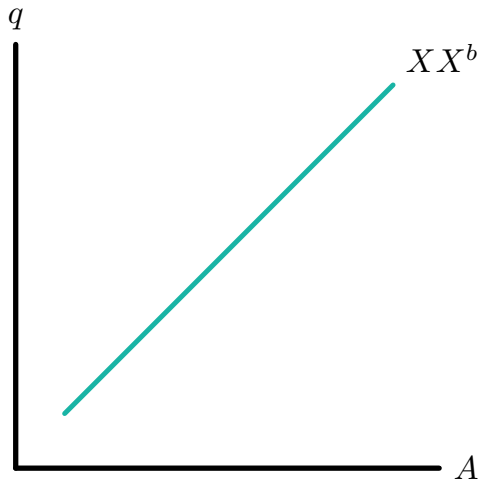
The II Curve



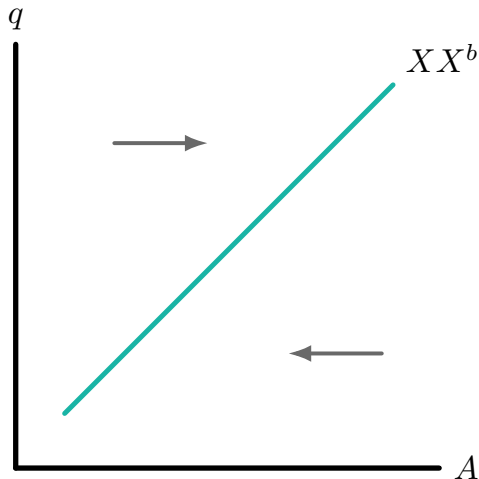
Adjustment Dynamics for II Curve



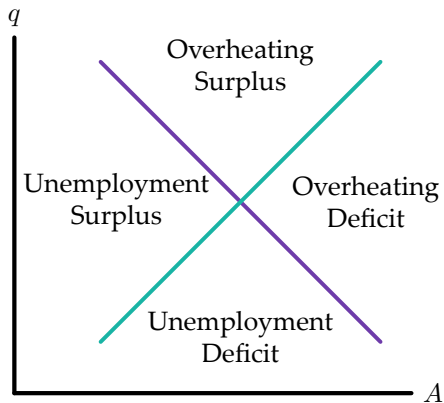
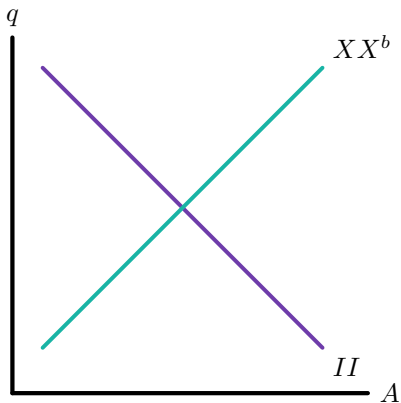
The XX Curve



Adjustment Dynamics for XX Curve



Four Zones of Economic Discomfort



Dynamics for II and XX Combined

